

Swing Trading Playbook

Momentum Burst Strategy — Indian Markets (NSE/BSE)

Based on: Momentum Burst (Pradeep Bonde) + Swingalgo charts + Swing Trading for Dummies + Trading in the Zone

THE CORE IDEA

Trending stocks move in a staircase pattern — up for a few days, rest and consolidate, then burst up again. You are looking to enter at the exact moment the stock breaks out of the rest phase. Hold 3–5 days. Exit. Repeat.

BEFORE YOU LOOK AT ANY STOCK — CHECK THE MARKET FIRST

Nifty 50 daily chart:

- Nifty must be ABOVE its 21 EMA and 55 EMA
- Both EMAs must be pointing upward
- If Nifty is below both EMAs → only look for shorts, no longs
- If Nifty is between the two EMAs → be selective, reduce position size by 50%

If market is weak (Nifty below 21 EMA):

- Switch to short/put setups only
 - Look for the mirror image of all long rules below
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THE LONG SETUP — EXACT PATTERN TO FIND

Phase 1 — The prior uptrend (must exist before the base)

The stock must have already moved up significantly before forming a base. You are NOT buying a stock coming out of a multi-month downtrend (that is a reversal trade, different strategy). The uptrend shows the market already likes this stock.

How to confirm uptrend:

- $EMA-8 > EMA-21 > EMA-55$ (all stacked bullishly)
 - EMA-144 pointing upward or flattening (not falling)
 - Price has been making higher highs and higher lows on the daily chart
 - U/D ratio (up days vs down days over last 20 sessions) ≥ 1.4
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Phase 2 — The base (consolidation before breakout)

After the uptrend, the stock rests. This is the base. You need to identify and wait for it.

What a valid base looks like:

- Duration: 5 to 15 days of tight sideways movement
- Daily candles are small — daily range is below the stock's average daily range (ADR)
- Volume is drying up during the base (low, quiet volume = healthy rest)
- Price is holding near a clear horizontal resistance level (the red line)
- EMA-8 and EMA-21 are rising and catching up to price during the base

Bonus signals inside the base (increases confidence):

- One or more SFP (Swing Failure Pattern): price briefly dips below a prior low intraday, then closes back above it — this shakes out weak holders and signals accumulation
- One or more Doji candles (especially Doji star, Doji grave, Doji dragonfly): signals the selling pressure is exhausted
- Ascending triangle: higher lows forming while highs are flat near resistance — this is the strongest base pattern

What kills a base:

- Any single day with a big red candle closing below the EMA-21
 - Volume spike on a down day (distribution = smart money selling)
 - Three consecutive down days in the base
 - Price falling below EMA-55
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Phase 3 — The breakout (your entry trigger)

All of the following must happen on the SAME day:

1. Price breaks and closes ABOVE the key horizontal resistance (the red line)
2. The breakout candle is a strong green candle — body must be > 60% of the total candle range (not a doji, not a hammer — a solid bull candle)
3. Close is in the top 10% of the day's range (closes near the high)
4. Today's volume (RVol) is $\geq 1.5x$ the 50-day average volume — confirmed by % change in volume
5. Move on the day is $\geq 4\%$ from previous close
6. Stock has NOT been up 3 consecutive days before today (you are not chasing)
7. Confluence check — at least 4 of these 6 must be true:

- MACD: bullish crossover or positive histogram
 - RSI: above 55 and rising
 - Stochastic: above 50 and rising
 - Volume: clearly expanding vs base period
 - Trend: EMA-8 above EMA-21 above EMA-55
 - ADX: above 20 (trend has strength)
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THE SHORT SETUP — MIRROR IMAGE

Look for this when Nifty is weak (below 21 EMA) or for FNO put trades on individual weak stocks.

What to find:

- $EMA-8 < EMA-21 < EMA-55$ (full bearish stack)
- Stock has been making lower highs and lower lows
- $U/D \text{ ratio} < 0.9$ (more down days than up days)
- Price rallies weakly into resistance and forms an SFP at the top (pokes above prior high intraday, closes back below = weak bulls, strong bears)
- Doji candles at resistance = indecision = reversal signal
- Breakdown candle: strong red candle below key support, body $> 60\%$ of range, $RVol \geq 1.5x$, move $\geq 3-4\%$ down

Entry for short: Enter at market open next day or on the breakdown day if you catch it intraday.

ENTRY RULES

When to enter a long:

- Best: First 60 minutes of the trading session (9:15 AM - 10:15 AM IST)
- If you miss the first hour: only enter if the stock is still within 2% of the breakout level and hasn't already moved 8%+
- Do NOT buy at the end of day hoping tomorrow opens higher — enter on the actual breakout day
- Enter when stock is up 4-6% for the day (the sweet spot — confirmed move but not exhausted)

Order type: Use a limit order slightly above the resistance level, or a market order in the first 15 minutes if conviction is high.

STOP LOSS — NON-NEGOTIABLE

Primary stop: Low of the breakout candle (the same day you entered)

Fallback stop (if primary is too wide): Entry price minus 50% of the breakout day's range

Rule: Your stop must result in a maximum loss of 3% or less from your entry. If the math doesn't work (stop is too far), skip the trade. Do not widen the stop to justify the trade.

Place your stop as a SL-M order immediately after entry. Not mentally. In the system.

POSITION SIZING

Formula:

Risk amount = 0.75% of your total capital

Position size (₹) = Risk amount ÷ (Entry price - Stop price)

Example:

- Capital: ₹5,00,000
- Risk per trade: ₹3,750 (0.75%)
- Entry: ₹500, Stop: ₹485 (₹15 risk per share)
- Position size: $₹3,750 \div ₹15 = 250 \text{ shares} = ₹1,25,000$ (25% of capital)

Maximum position size: 25% of capital in any single trade. If the formula gives more than this, cap it at 25%.

TARGETS AND EXIT RULES

Target: 8-40% depending on market conditions. Do not set a fixed price target — let the market show you.

Strong market (Nifty in uptrend, broad participation):

- Hold for the full 3-5 day period
- Move your stop to breakeven once the trade is +8%
- Trail your stop below each day's low as the trade moves in your favour
- Exit when price closes below EMA-8 on the daily chart

Choppy/uncertain market (Nifty between EMAs):

- Take 50% profit on day 2 if the stock is up 8-10%
- Keep stop tight on the remaining 50%
- Do not hold overnight if there are negative market-wide events

Weak market (Nifty below both EMAs):

- Do not take new long trades

- If you are already in a trade and Nifty breaks down, exit same day — market environment overrides trade management

Forced exit rules (override everything else):

- Stock gaps down below your stop on open → exit at market immediately, no waiting
 - Stop is hit intraday → exit, do not average down or widen stop
 - You are wrong → you are wrong. Take the loss. The next trade is independent.
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DAILY ROUTINE

Night before (after 6 PM):

1. Check Nifty — above or below key EMAs? Set the day's bias (long-only / selective / short-only)
2. Scan for setups: stocks in valid bases near key resistance, quiet volume, SFP/doji signals present
3. Mark your watchlist for tomorrow — ideally 5-10 stocks to watch at open
4. For each watchlist stock, pre-decide: entry level, stop level, position size

Morning (9:00-9:15 AM):

1. Check overnight global cues (SGX Nifty, US futures, Asian markets)
2. Check FII/DII flows from previous day — net buyers = bullish, heavy sellers = cautious
3. Review ASM/GSM list changes (avoid any stock that entered ASM overnight)
4. Trim watchlist to top 3-5 based on gap-up behaviour at open

During market (9:15-10:15 AM):

1. Watch your watchlist stocks — do they open strong and hold the breakout?
2. Enter setups that confirm within the first hour
3. Do not trade stocks you did not pre-research — no impulsive entries

After market (3:30-4:00 PM):

1. Review open positions — is the story still intact?
 2. Note any stocks that formed good bases today for tomorrow's watchlist
 3. Log every trade: what you saw, why you entered, result
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FILTERS TO ALWAYS APPLY (PRE-SCAN UNIVERSE)

Before looking at setups, eliminate these from your universe:

Filter	Condition
Market cap	₹800 crore to ₹80,000 crore
Price	Above ₹50
ASM / GSM framework	Exclude all stocks on the list
Anchor lock-in	Avoid recently listed IPOs with lock-in expiry within 7 days
Ex-dividend date	Skip on ex-date
Promoter selling	Avoid if promoter sold shares in last 30 days
Price band	Avoid if price band was recently reduced to 5%

EXECUTION RULES (FROM TRADING IN THE ZONE)

These are not suggestions. These are rules.

1. **Define your stop before you enter.** Every single time.
 2. **Never move your stop wider.** You can move it tighter (trailing), never wider.
 3. **Never average down.** If the trade goes against you, it means you were wrong. Exit.
 4. **Take every valid setup.** Do not cherry-pick. Skipping valid setups breaks the edge.
 5. **Every trade is independent.** A losing trade does not mean the next one will lose. A winning trade does not mean you should bet bigger next time.
 6. **Your job is not to predict.** Your job is to follow the rules and let the probabilities play out over 20–30 trades.
 7. **If you missed the entry window, skip the trade.** There will always be another setup.
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QUICK REFERENCE CHECKLIST

Print this and use it for every trade:

Before entering:

- ☐ Nifty above 21 EMA and 55 EMA?
- ☐ Stock has prior uptrend ($\text{EMA-8} > 21 > 55$)?
- ☐ Valid base of 5–15 days with quiet volume?
- ☐ SFP or Doji pattern visible in the base?
- ☐ Clear horizontal resistance level identified?
- ☐ Today's candle: $\geq 4\%$ move, body $> 60\%$, close near high?
- ☐ $\text{RVol} \geq 1.5 \times 50\text{-day average}$?

- ☐ Not up 3 days in a row?
- ☐ 4+ out of 6 confluence indicators aligned?
- ☐ Stock NOT in ASM/GSM list?
- ☐ Stop level calculated? Risk $\leq$ 3% from entry?
- ☐ Position size calculated (0.75% capital at risk)?

After entering:

- ☐ SL-M stop order placed in system immediately?
 - ☐ Target / trailing plan decided?
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WHAT A PERFECT SETUP LOOKS LIKE IN ONE SENTENCE

A stock that has been trending up, rested quietly for 5-15 days with doji candles and SFPs near a clear resistance level, and today broke out above that level with a strong body candle on 1.5x+ volume while the overall market is in an uptrend.

Strategy compiled from: Momentum Burst (Pradeep Bonde), Swingalgo chart analysis, Swing Trading for Dummies (Omar Bassal), Trading in the Zone (Mark Douglas)